QUARTERLY INVESTOR REPORT

Heritage Parkview Town Center | Milwaukee, WI

Investment	Heritage Parkview Town Center
Quarter	2Q 2019
Report Date	August 9, 2023
Sponsor	Juniper Peak Real Estate Fund
Occupancy	89.4%

Risk Considerations

Distributions to investors for the quarter were paid at an annualized rate of 3.1% on contributed capital. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Projected levered IRR is 10.8% with an equity multiple of 1.31x over the hold period. Average rent is $18 per square foot with parking at a ratio of 38 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Average rent is $18 per square foot with parking at a ratio of 7 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Distributions to investors for the quarter were paid at an annualized rate of 6.8% on contributed capital. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Projected levered IRR is 3.9% with an equity multiple of 1.31x over the hold period. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns.

Leasing and Marketing

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 23 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day.

Service requests are tracked through a work-order system with an average completion time of 39 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. Collections for the period were 93.3% of billed charges, with bad debt of 3.5% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Investment Overview

Projected levered IRR is 9.4% with an equity multiple of 1.7x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

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Investment Overview

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $18 per square foot with parking at a ratio of 40 spaces per 1,000 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 9.6% with an equity multiple of 1.25x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 7.7% on contributed capital.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members. Service requests are tracked through a work-order system with an average completion time of 27 hours. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Collections for the period were 90.6% of billed charges, with bad debt of 6.6% of gross potential income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $18 per square foot with parking at a ratio of 24 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Business Plan Progress

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Distributions to investors for the quarter were paid at an annualized rate of 6.9% on contributed capital. Average rent is $18 per square foot with parking at a ratio of 9 spaces per 1,000 square feet. Projected levered IRR is 10.1% with an equity multiple of 1.6x over the hold period.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Average rent is $18 per square foot with parking at a ratio of 48 spaces per 1,000 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 9.1% with an equity multiple of 1.4x over the hold period.

Management Commentary

Collections for the period were 96.4% of billed charges, with bad debt of 3.8% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. Average rent is $18 per square foot with parking at a ratio of 12 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $18 per square foot with parking at a ratio of 13 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Pool resurfacing	Site	03/14/23	Q2 2027	$213,000	$54,238	Bidding
ADA compliance	Life Safety	02/27/26	Q4 2026	$221,000	$182,899	Deferred
Roof replacement - Bldg A	Interior	04/23/25	Q4 2026	$491,000	$211,046	Approved
Fire alarm panel upgrade	Life Safety	12/13/25	Q2 2026	$93,000	$95,457	Deferred
Unit interior upgrades	Building	02/13/23	Q3 2025	$115,000	$85,273	Approved
Parking lot resurfacing	Site	04/25/26	Q3 2026	$49,000	$8,275	Complete
Exterior paint	Energy	02/03/24	Q1 2027	$581,000	$30,778	In progress
Sewer line repair	Site	01/07/23	Q1 2027	$39,000	$38,029	Deferred
HVAC replacement	Energy	10/06/24	Q3 2025	$817,000	$186,898	Approved
Landscape / irrigation	Building	09/28/25	Q3 2026	$821,000	$713,832	Complete
LED lighting retrofit	Site	05/15/26	Q2 2025	$801,000	$787,366	Complete
LED lighting retrofit	Energy	08/28/23	Q3 2026	$880,000	$197,291	In progress
Water heater replacement	Energy	10/27/23	Q1 2026	$657,000	$628,646	Bidding
Lobby renovation	Energy	10/24/24	Q2 2027	$456,000	$352,920	In progress
HVAC replacement	Life Safety	10/17/25	Q4 2026	$78,000	$27,196	In progress
Lobby renovation	Site	11/20/23	Q4 2027	$638,000	$236,725	In progress
Water heater replacement	Life Safety	05/06/24	Q2 2025	$229,000	$159,965	Complete
ADA compliance	Site	12/19/24	Q1 2025	$616,000	$483,585	In progress
Elevator modernization	Site	06/08/26	Q4 2026	$660,000	$489,374	Complete
Exterior paint	Life Safety	01/05/25	Q4 2027	$454,000	$211,072	Complete
HVAC replacement	Interior	11/19/26	Q4 2027	$383,000	$15,775	Deferred
Landscape / irrigation	Life Safety	02/19/25	Q1 2025	$370,000	$381,211	Bidding
Water heater replacement	Building	12/04/26	Q1 2027	$486,000	$282,489	Approved
LED lighting retrofit	Life Safety	02/16/23	Q4 2026	$722,000	$277,743	Complete
ADA compliance	Interior	04/16/24	Q1 2025	$278,000	$19,671	In progress
HVAC replacement	Site	04/07/24	Q3 2026	$655,000	$573,665	Approved
Fire alarm panel upgrade	Interior	01/20/24	Q2 2026	$439,000	$307,794	In progress
Signage / monument	Life Safety	08/05/23	Q1 2026	$145,000	$55,494	Deferred
Exterior paint	Building	02/17/25	Q2 2026	$22,000	$14,025	Complete
Roof replacement - Bldg A	Building	10/07/26	Q1 2027	$840,000	$225,731	Approved
Sewer line repair	Life Safety	04/07/23	Q1 2027	$455,000	$210,950	In progress
HVAC replacement	Site	01/28/25	Q1 2026	$466,000	$280,939	Approved
Elevator modernization	Life Safety	12/03/23	Q1 2026	$453,000	$459,460	Bidding
Lobby renovation	Interior	08/20/23	Q4 2027	$60,000	$52,717	Bidding
Pool resurfacing	Site	04/16/25	Q3 2027	$153,000	$61,826	Bidding
Security camera upgrade	Energy	02/28/26	Q3 2027	$537,000	$430,963	In progress
LED lighting retrofit	Site	11/26/25	Q2 2027	$787,000	$424,415	Deferred
Fence replacement	Interior	08/19/24	Q1 2027	$69,000	$67	Approved
Security camera upgrade	Life Safety	05/17/24	Q3 2027	$616,000	$34,285	Deferred
LED lighting retrofit	Energy	09/14/24	Q2 2025	$826,000	$728,658	Bidding
Amenity renovation	Site	09/17/24	Q3 2026	$333,000	$252,958	Bidding
HVAC replacement	Life Safety	05/17/24	Q2 2026	$712,000	$601,166	Approved

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Operating Performance

Debt service coverage ratio was 5.22x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $54,000 or approximately 10.07 per square foot, with real estate taxes representing the largest line item.

Operating expenses totaled $389,000 or approximately 29.76 per square foot, with real estate taxes representing the largest line item. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Effective gross income for the trailing period was $23,000, representing a 13.9% increase over the prior year. The going-in capitalization rate of 7.31% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.9% of collected revenue and are included in operating expenses.

Demographics and Employment

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Retail assets in Milwaukee remains strong with recent trades at capitalization rates between 6.45% and 6.45%. Median household income within a 6-mile radius of the property is approximately $192,000 and has grown 10.4% annually. Market vacancy for comparable Retail product stands at 5.0%, down from 5.1% two years ago. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Employment growth is led by healthcare, logistics, education and professional services sectors.

The Milwaukee Retail market has experienced absorption of 600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Retail assets in Milwaukee remains strong with recent trades at capitalization rates between 6.57% and 6.57%. Heritage Parkview Town Center is located in Milwaukee, WI, a market that has recorded 13.3% population growth over the last five years. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Market vacancy for comparable Retail product stands at 7.7%, down from 6.1% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 8.0% over the hold period. Debt service coverage ratio was 7.19x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses.

Effective gross income for the trailing period was $77,000, representing a 2.1% increase over the prior year. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 6.48% reflects the in-place income and the stabilized occupancy assumption. Average rent is $18 per square foot with parking at a ratio of 21 spaces per 1,000 square feet.

Market Overview

Rent growth in the submarket has averaged 4.0% annually over the past 5 years. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Market vacancy for comparable Retail product stands at 7.2%, down from 4.0% two years ago. The Milwaukee Retail market has experienced absorption of 700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$713,535	$715,580	$715,811	$2,276	0.3%	$27,531.20
5010 Loss to Lease	$691,846	$712,171	$722,656	$30,810	4.5%	$27,794.47
5020 Vacancy Loss	$214,837	$222,905	$235,523	$20,686	9.6%	$9,058.58
5030 Concessions	$263,473	$250,263	$255,893	-$7,580	-2.9%	$9,842.05
5040 Bad Debt	$195,942	$182,193	$185,799	-$10,142	-5.2%	$7,146.13
5050 Late Fees	$129,174	$123,111	$126,634	-$2,540	-2.0%	$4,870.54
5060 Utility Reimbursements	$261,785	$261,636	$275,319	$13,534	5.2%	$10,589.18
5070 Parking Income	$423,080	$408,777	$414,291	-$8,790	-2.1%	$15,934.26
5080 Application Fees	$114,241	$115,154	$120,195	$5,955	5.2%	$4,622.90
5090 Pet Rent	$223,375	$206,438	$206,777	-$16,598	-7.4%	$7,952.95
5100 Laundry Income	$694,554	$692,844	$731,721	$37,167	5.4%	$28,143.10
5110 Cable/Internet Revenue	$462,429	$483,123	$507,555	$45,126	9.8%	$19,521.36
5120 CAM Reimbursements	$293,938	$284,508	$287,426	-$6,513	-2.2%	$11,054.83
5130 Tax Reimbursements	$163,650	$167,994	$171,101	$7,451	4.6%	$6,580.82
5140 Insurance Reimbursements	$222,223	$233,242	$237,153	$14,930	6.7%	$9,121.26
5150 Percentage Rent	$247,848	$233,915	$247,823	-$25	-0.0%	$9,531.64
5160 Misc. Income	$348,344	$370,155	$377,645	$29,301	8.4%	$14,524.82
5170 Payroll - Management	$336,222	$335,252	$350,406	$14,184	4.2%	$13,477.16
5180 Payroll - Leasing	$739,544	$789,306	$815,415	$75,871	10.3%	$31,362.10
5190 Payroll - Maintenance	$502,633	$517,600	$536,658	$34,025	6.8%	$20,640.68
5200 Payroll Taxes & Benefits	$59,425	$60,070	$62,290	$2,865	4.8%	$2,395.78
5210 Repairs - Plumbing	$258,657	$238,387	$244,416	-$14,240	-5.5%	$9,400.63
5220 Repairs - HVAC	$208,865	$193,511	$206,984	-$1,881	-0.9%	$7,960.91
5230 Repairs - Electrical	$544,192	$519,360	$549,218	$5,026	0.9%	$21,123.78
5240 Repairs - Appliances	$441,531	$408,471	$430,646	-$10,885	-2.5%	$16,563.30
5250 Painting & Decorating	$172,096	$160,288	$170,040	-$2,056	-1.2%	$6,540.01
5260 Flooring	$65,449	$63,738	$65,611	$161	0.2%	$2,523.48
5270 Make-Ready / Turnover	$119,399	$118,722	$125,052	$5,654	4.7%	$4,809.71
5280 Landscaping Contract	$686,011	$703,816	$744,668	$58,657	8.6%	$28,641.09
5290 Snow Removal	$47,127	$49,080	$51,584	$4,457	9.5%	$1,984.00
5300 Janitorial	$77,874	$82,331	$85,413	$7,539	9.7%	$3,285.11
5310 Pest Control	$181,118	$195,291	$207,832	$26,714	14.7%	$7,993.55
5320 Trash Removal	$76,840	$79,605	$81,392	$4,552	5.9%	$3,130.46
5330 Elevator Contract	$438,459	$431,762	$442,843	$4,385	1.0%	$17,032.44
5340 Fire & Life Safety	$603,714	$564,469	$565,920	-$37,794	-6.3%	$21,766.14
5350 Security	$612,826	$612,014	$650,373	$37,547	6.1%	$25,014.35
5360 Electricity - Common	$423,263	$442,915	$469,683	$46,419	11.0%	$18,064.72
5370 Gas - Common	$54,271	$50,295	$50,709	-$3,563	-6.6%	$1,950.33
5380 Water & Sewer	$245,986	$264,740	$267,716	$21,730	8.8%	$10,296.76
5390 Telephone/Internet	$427,048	$398,094	$406,139	-$20,910	-4.9%	$15,620.72
5400 Advertising	$701,025	$736,580	$773,081	$72,057	10.3%	$29,733.90
5410 Resident Events	$709,069	$661,716	$667,434	-$41,635	-5.9%	$25,670.52
5420 Office Supplies	$664,771	$638,379	$651,664	-$13,107	-2.0%	$25,064.00

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Business Plan Progress

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 4.4% with an equity multiple of 1.40x over the hold period.

Distributions to investors for the quarter were paid at an annualized rate of 7.8% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Property Operations

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. Average rent is $18 per square foot with parking at a ratio of 25 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 7 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Business Plan Progress

Projected levered IRR is 2.5% with an equity multiple of 1.43x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average rent is $18 per square foot with parking at a ratio of 31 spaces per 1,000 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Projected levered IRR is 9.7% with an equity multiple of 1.5x over the hold period. Average rent is $18 per square foot with parking at a ratio of 36 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 41 hours. Collections for the period were 89.9% of billed charges, with bad debt of 4.6% of gross potential income. Average rent is $18 per square foot with parking at a ratio of 16 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Door hardware	Energy	06/06/26	Q4 2026	$529,000	$171,381	Bidding
HVAC replacement	Site	04/21/25	Q2 2027	$39,000	$24,293	Bidding
Lobby renovation	Building	05/08/25	Q2 2027	$759,000	$26,755	In progress
ADA compliance	Life Safety	01/02/26	Q4 2025	$776,000	$255,083	Deferred
Fire alarm panel upgrade	Interior	11/07/25	Q3 2026	$735,000	$273,593	Deferred
LED lighting retrofit	Energy	11/25/25	Q2 2025	$178,000	$51,955	Deferred
Unit interior upgrades	Site	05/17/24	Q4 2026	$616,000	$82,228	Deferred
HVAC replacement	Life Safety	06/21/24	Q3 2025	$283,000	$183,999	Bidding
Storefront glazing	Site	10/23/25	Q2 2025	$843,000	$689,871	Bidding
Unit interior upgrades	Site	06/30/23	Q1 2025	$860,000	$287,597	Complete
Storefront glazing	Building	06/15/25	Q1 2026	$758,000	$57,972	Approved
Signage / monument	Life Safety	05/12/23	Q1 2026	$610,000	$345,347	Approved
Door hardware	Life Safety	01/01/23	Q4 2027	$407,000	$237,776	Bidding
Parking lot resurfacing	Life Safety	01/15/23	Q2 2025	$258,000	$232,609	Complete
Elevator modernization	Energy	02/09/26	Q1 2026	$658,000	$30,539	Deferred
Fire alarm panel upgrade	Energy	09/12/26	Q4 2027	$513,000	$268,468	Bidding
ADA compliance	Interior	09/14/24	Q1 2027	$755,000	$664,412	Complete
Storefront glazing	Site	11/20/26	Q3 2025	$604,000	$542,657	Bidding
ADA compliance	Energy	11/10/24	Q3 2025	$391,000	$98,145	Deferred
Lobby renovation	Life Safety	12/27/26	Q2 2027	$775,000	$326,575	Approved
Elevator modernization	Site	05/04/25	Q1 2027	$218,000	$85,415	Approved
Storefront glazing	Interior	12/08/24	Q3 2027	$581,000	$208,081	Complete
Lobby renovation	Life Safety	05/20/26	Q1 2026	$283,000	$103,146	Deferred
Landscape / irrigation	Life Safety	04/20/26	Q2 2026	$761,000	$405,295	In progress
ADA compliance	Interior	10/11/25	Q3 2027	$103,000	$89,602	Bidding
Signage / monument	Energy	05/26/25	Q2 2026	$389,000	$335,441	Bidding
Elevator modernization	Interior	05/30/23	Q2 2027	$341,000	$259,664	Deferred
Landscape / irrigation	Site	09/05/24	Q1 2025	$91,000	$53,233	Complete
Exterior paint	Site	03/17/23	Q1 2026	$690,000	$134,090	In progress
LED lighting retrofit	Site	10/19/24	Q3 2025	$476,000	$143,435	Approved
Landscape / irrigation	Building	09/15/24	Q3 2026	$400,000	$388,018	Bidding
Sewer line repair	Life Safety	08/31/26	Q1 2026	$458,000	$18,348	Deferred
HVAC replacement	Energy	10/09/24	Q1 2026	$67,000	$49,234	Bidding
Roof replacement - Bldg B	Interior	07/06/23	Q2 2027	$313,000	$209,498	Approved
Fire alarm panel upgrade	Site	07/12/26	Q1 2026	$275,000	$137,758	In progress
Parking lot resurfacing	Life Safety	11/01/24	Q3 2027	$408,000	$251,820	In progress
Landscape / irrigation	Life Safety	10/17/26	Q1 2027	$45,000	$22,713	Approved
LED lighting retrofit	Life Safety	01/15/24	Q4 2025	$516,000	$508,937	Deferred
Unit interior upgrades	Site	10/21/24	Q3 2025	$438,000	$361,907	In progress
ADA compliance	Building	08/17/26	Q2 2026	$181,000	$27,620	Deferred

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Financial Analysis

Operating expenses totaled $327,000 or approximately 36.56 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.14x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $51,000, representing a 2.6% increase over the prior year. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The going-in capitalization rate of 5.76% reflects the in-place income and the stabilized occupancy assumption. Average rent is $18 per square foot with parking at a ratio of 36 spaces per 1,000 square feet.

Debt service coverage ratio was 7.05x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. Effective gross income for the trailing period was $198,000, representing a 2.3% increase over the prior year.

Supply and Demand

Heritage Parkview Town Center is located in Milwaukee, WI, a market that has recorded 7.6% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Market vacancy for comparable Retail product stands at 2.1%, down from 3.4% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Retail assets in Milwaukee remains strong with recent trades at capitalization rates between 6.46% and 6.46%.

Median household income within a 3-mile radius of the property is approximately $278,000 and has grown 10.5% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Heritage Parkview Town Center is located in Milwaukee, WI, a market that has recorded 8.9% population growth over the last five years. Average rent is $18 per square foot with parking at a ratio of 23 spaces per 1,000 square feet. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Retail assets in Milwaukee remains strong with recent trades at capitalization rates between 6.15% and 6.15%.

Valuation Discussion

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Operating expenses totaled $374,000 or approximately 34.22 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period.

Effective gross income for the trailing period was $359,000, representing a 7.7% increase over the prior year. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 8.08x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Operating expenses totaled $429,000 or approximately 11.12 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Submarket Analysis

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$110,863	$106,950	$109,206	-$1,656	-1.5%	$4,200.24
5430 Legal & Professional	$245,063	$239,693	$241,921	-$3,142	-1.3%	$9,304.67
5440 Accounting & Audit	$197,439	$187,190	$191,365	-$6,074	-3.1%	$7,360.20
5450 Licenses & Permits	$436,701	$458,781	$489,184	$52,483	12.0%	$18,814.79
5460 Management Fee	$190,285	$178,352	$183,689	-$6,595	-3.5%	$7,064.97
5470 Property Insurance	$506,333	$522,024	$543,695	$37,362	7.4%	$20,911.33
5480 Real Estate Taxes	$55,294	$55,736	$57,681	$2,387	4.3%	$2,218.51
5490 Asset Management Fee	$41,095	$38,677	$40,638	-$457	-1.1%	$1,563.00
5500 Replacement Reserves	$544,493	$525,765	$554,690	$10,198	1.9%	$21,334.24
5510 Roof Repairs	$562,061	$530,264	$551,128	-$10,933	-1.9%	$21,197.23
5520 Parking Lot Repairs	$151,903	$163,248	$167,675	$15,772	10.4%	$6,449.02
5530 Signage	$416,081	$433,920	$462,392	$46,311	11.1%	$17,784.29
5540 Tenant Improvements	$82,073	$82,587	$86,148	$4,075	5.0%	$3,313.39
5550 Leasing Commissions	$250,280	$263,996	$281,824	$31,545	12.6%	$10,839.40
5000 Gross Potential Rent	$581,831	$598,629	$601,839	$20,009	3.4%	$23,147.67
5010 Loss to Lease	$72,619	$77,516	$82,708	$10,089	13.9%	$3,181.08
5020 Vacancy Loss	$676,794	$720,372	$737,581	$60,788	9.0%	$28,368.52
5030 Concessions	$129,958	$127,427	$129,014	-$944	-0.7%	$4,962.08
5040 Bad Debt	$336,970	$321,728	$325,797	-$11,173	-3.3%	$12,530.67
5050 Late Fees	$168,622	$163,302	$170,230	$1,608	1.0%	$6,547.29
5060 Utility Reimbursements	$155,308	$150,758	$159,883	$4,575	2.9%	$6,149.33
5070 Parking Income	$68,485	$73,625	$74,304	$5,819	8.5%	$2,857.86
5080 Application Fees	$317,179	$330,724	$348,765	$31,586	10.0%	$13,414.06
5090 Pet Rent	$114,478	$114,253	$120,136	$5,658	4.9%	$4,620.61
5100 Laundry Income	$97,049	$91,401	$92,837	-$4,212	-4.3%	$3,570.66
5110 Cable/Internet Revenue	$299,209	$290,530	$309,258	$10,049	3.4%	$11,894.55
5120 CAM Reimbursements	$514,281	$505,483	$531,391	$17,111	3.3%	$20,438.12
5130 Tax Reimbursements	$567,511	$548,179	$580,228	$12,716	2.2%	$22,316.45
5140 Insurance Reimbursements	$253,725	$257,998	$264,750	$11,025	4.3%	$10,182.69
5150 Percentage Rent	$477,830	$486,389	$502,050	$24,220	5.1%	$19,309.61
5160 Misc. Income	$424,459	$405,997	$413,746	-$10,712	-2.5%	$15,913.33
5170 Payroll - Management	$595,103	$637,828	$656,960	$61,857	10.4%	$25,267.70
5180 Payroll - Leasing	$643,741	$647,774	$650,988	$7,247	1.1%	$25,038.00
5190 Payroll - Maintenance	$421,250	$443,507	$450,131	$28,881	6.9%	$17,312.71
5200 Payroll Taxes & Benefits	$82,937	$79,342	$84,509	$1,572	1.9%	$3,250.35
5210 Repairs - Plumbing	$534,402	$566,117	$599,392	$64,990	12.2%	$23,053.55
5220 Repairs - HVAC	$335,597	$335,877	$348,634	$13,037	3.9%	$13,409.01
5230 Repairs - Electrical	$611,354	$635,904	$670,613	$59,260	9.7%	$25,792.82
5240 Repairs - Appliances	$272,161	$267,788	$285,977	$13,816	5.1%	$10,999.10
5250 Painting & Decorating	$423,258	$420,446	$443,602	$20,344	4.8%	$17,061.63
5260 Flooring	$578,752	$559,458	$582,239	$3,487	0.6%	$22,393.82
5270 Make-Ready / Turnover	$469,858	$466,892	$498,731	$28,873	6.1%	$19,181.97

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Investor Distributions

Average rent is $18 per square foot with parking at a ratio of 41 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Distributions to investors for the quarter were paid at an annualized rate of 7.8% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $18 per square foot with parking at a ratio of 47 spaces per 1,000 square feet.

Property Operations

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. Service requests are tracked through a work-order system with an average completion time of 9 hours. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 46 hours.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital. Average rent is $18 per square foot with parking at a ratio of 19 spaces per 1,000 square feet. Projected levered IRR is 7.1% with an equity multiple of 1.33x over the hold period.

Leasing and Marketing

Collections for the period were 94.6% of billed charges, with bad debt of 4.7% of gross potential income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 19 hours. Average rent is $18 per square foot with parking at a ratio of 31 spaces per 1,000 square feet.

Average rent is $18 per square foot with parking at a ratio of 33 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 42 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

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Disclaimer and Confidentiality

Time is of the essence with respect to each and every provision of this instrument. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of WI. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Heritage Parkview Town Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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